EXECUTIVE SUMMARY

1. Introduction

The Municipality of Iguig, Province of Cagayan was founded by Rev. Ambrocio de la Madre de Dios, O.P on December 8, 1607. It was created as "Pueblo" along with the earlier towns where Spanish Encomienderos enjoyed the friendly atmosphere and willingness of residents to embrace Christianity. It is known for its pottery making supplying particularly the whole province.

Iguig is a fourth class municipality composed of 23 barangays. It is located approximately 16 kilometers away from Tuguegarao City. The agency's vision is to be self-reliant, productive agricultural community, vibrant in trade and industry and well known tourist destination where every Iguigueños can live peacefully and prosperously.

The audit covered the accounts and operations of the Municipality of Iguig for the year 2015 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

2. Financial Highlights

For CY 2015, the financial information of the municipality is presented below:

Particulars	2015	2014	Increase/ (Decrease)	
			Amount	Percentage
Financial Condition				
Assets	104,783,222.84	101,921,833.48	2,861,389.36	2.81%
Liabilities	58,400,699.98	68,054,024.01	(9,653,324.03)	(14.18%)
Government Equity	46,382,522.86	33,867,809.47	12,514,713.39	36.95%
Result of Operations				
Income	77,056,153.30	69,122,161.75	7,933,991.55	11.48%
Expenses	65,320,630.21	54,018,143.00	11,302,487.21	20.92%
Appropriations, Allotments and Obligations				
Total Appropriation	87,571,654.00	77,283,147.00	10,288,507.0)	13.31%
Total Obligations	78,978,245.74	68,969,203.21	10,009,042.53	14.51%
Comparative Statements of Funds Received from NGAs, LGU, NGOs, & POs				
Nat'l Gov't Offices	12,868,835.23	10,525,536.05	2,343,299.18	22.26%
Local Gov't Units	2,023,000.00	1,250,000.00	773,000.00	61.84

Comparative Statements of Funds Transferred to NGAs, LGU, NGOs, & POs				
Local Gov't Units	23,000.00	00	23,000.00	100%

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the financial statements due to (a) the effect on non-preparation of bank reconciliation statements for CY 2015 rendering the Cash in Bank account balances of P8,625,588.11 unreliable as at year end; (b) unreconciled Property, Plant and Equipment accounts with property records due to non-submission of the Report on the Physical Count of PPE as of December 31, 2014; (c) and Real Property Tax (RPT) and Special Education Tax (SET) Receivables balances amounting to P8,271,884.96 and P1,008,016.91 respectively, are unreliable since the amount set up at the beginning of the year was based on estimates and not on the computed amount due and collectibles from taxpayers.

4. Summary of Significant Observations and Recommendations

a. Advances for operating expenses and advances for officers and employees totaling P696,655.00 remained unliquidated at year end because management did not follow up demand letters issued to concerned officials and employees.

We recommended that management strictly monitor the demand letters sent to officers and employees concerned in order that their cash advances be immediately settled.

b. The unexpended portion of Local Disaster Risk Reduction and Management Fund (LDRRMF) amounting ₱ 1,805,471.00 was not deposited to a Special Trust Fund.

We recommended that management transfer all unexpended balances of quick response fund and DRRMF – MOOE to the special trust account pursuant to COA Circular 2012-002 dated September 12, 2012.

c. Collectors continuously failed to turn over all their collections intact at the close of every business day to the treasurer / liquidating officer due to the laxity of the Municipal Treasurer in monitoring daily remittance of collections. .

We recommended that management direct collecting officers to strictly perform their obligations by remitting all their collections intact at the end of every business day to the liquidating officer. Their repeated failure not to turn over all their collections intact at the end of every business day shall be a ground for initiating appropriate legal action against these collectors and a ground for relieving them of their duties and responsibilities as collectors of taxes and other income for the municipality.

d. Management was not able to adopt measures in intensifying collections of taxes, estimated income appropriated for expenditures in the Annual Investment Plan for CY 2015 amounting P86.67M resulting to a shortfall of estimated income by P10.45M.

We recommended that management intensify collection of revenues in order to realize the budgeted revenues necessary to provide funds to implement all the projects targeted to be accomplished during the year. As much as possible, management should execute borrowing as planned/budgeted in order to implement programs and projects to be funded out of it.

5. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances & charges as of December 31, 2015:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0
Current Year	0.00	10,000,000.00	0.00	10,000,000.00	0
Total	0.00	10,000,000.00	0.00	10,000,000.00	0
Disallowances					0
Prior Years	32,125.00	0.00	0.00	32,125.00	0
Current Year	0.00	0.00	0.00	0.00	0
Total	0.00	0.00	0.00	32,125.00	0
Charges					
Prior Years	0.00	0.00	0.00	0.00	0
Current Year	0.00	0.00	0.00	0.00	0
Total	0.00	0.00	0.00	0.00	0

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the eight prior years' audit recommendations embodied in the 2014 Annual Audit Report, one was fully implemented, five were partially implemented and two were not implemented.